

Dr. North is much less concerned with such problems. His adult children are accustomed to living in a much more frugal and disciplined environment. They are less likely to have a perceived need for major doses of economic outpatient care.

TAXES, GOVERNMENT, AND GOVERNMENT

Many high-income earners in America—both PAWs and UAWs—are greatly concerned about the actions of the federal government. These actions are external forces—those over which an individual has no control. Dr. South indicated that he feared four external forces that are government-related. Interestingly, these issues are not of major concern to Dr. North. Let's look at these four concerns:

1: Paying increasingly high federal income taxes

Both physicians think that the federal government is likely to require high-income producers to pay more in taxes. But tax increases are more the concern of Dr. South than of Dr. North. Why is Dr. South concerned about this issue? Because he needs to maximize his realized income to support his hyperconsumption lifestyle. If the government requires Dr. South to pay a higher share of his income, his lifestyle will be threatened.

What about Dr. North? He told us that he had a low level of concern over the prospects of the federal government increasing the share of his realized income that he must pay in taxes. Last year Dr. North paid approximately \$277,000 in income taxes (see [Table 3-3](#)). This may seem like a big bite. But look at it through the eyes of Dr. North. He looks at income tax more as a portion of his total wealth than a portion of his realized income.

What if the government doubled the tax rate on high incomes? This is very unlikely, but just as an example, Dr. North would then have to pay the equivalent of 8 percent of his wealth each year. By comparison, Dr. South would be at a “wealth rate” of 150 percent! Is it any wonder Dr. North is much less concerned about paying increasingly higher federal income taxes than Dr. South is?